CG Power & Industrial Solutions Ltd

Concall-Tracker report | ticker CGPOWER | prepared 04 Jul 2026 | based on earnings-call transcripts (Screener.in)

1. Snapshot

What the business does: CG Power makes the "hardware" that moves and uses electricity. Two big engines: (1) **Power Systems** — large power transformers, switchgear and high-voltage equipment that electricity grids and factories need; and (2) **Industrial Systems** — electric motors, drives (the electronics that control motor speed) and railway equipment. A newer third leg is **semiconductors** (chip assembly/ testing and chip-design), still being built. It is part of the Murugappa Group (through Tube Investments of India), which took control in late 2020 and rescued the company from near-collapse.

Number (FY26, year to Mar-2026)	Value	Plain-English read
Revenue (sales)	₹12,418 crore	Total sales for the year — up about 25% on last year's ₹9,909 cr. Strong, steady growth.
Net profit	₹1,199 crore	What was left after all costs and tax — roughly ₹10 profit on every ₹100 of sales.
Operating margin (OPM)	~13%	Profit from core operations before interest/tax/depreciation, per ₹100 of sales. Held steady for four years running.
Return on capital (ROCE)	~27% (Screener); management cited ~20-22%	How much profit the business earns on the money invested in it — very high; a genuinely efficient business now.
Borrowings (debt)	₹118 crore	Almost no debt — down from ₹3,297 cr in FY19. The balance sheet has been fully cleaned up.
Order backlog	₹17,107 crore	Confirmed orders not yet delivered — 61% higher than a year ago, i.e. more than a full year of sales already booked.

Note: current market cap / share price is not part of the provided snapshot files, so it is not quoted here.

2. Concall coverage

Twelve genuine transcript PDFs were on disk. They fall into two clearly separate eras: eight from the old **Avantha-group era (2016-2019)** and four from the current **Murugappa/Tube Investments era (FY26)**. The four recent calls were read in full; one representative old-era call (Q3 FY19) was read to characterise the previous management. The 2020-2024 calls were only available as slide decks or failed downloads, not transcripts.

Period	Call date	Era / management	Read?
Q1 FY26	24 Jul 2025	Murugappa (Amar Kaul, MD & CEO)	Yes — full
Q2 FY26	29 Oct 2025	Murugappa	Yes — full
Q3 FY26		Murugappa	Yes — full

	27 Jan 2026		
Q4 FY26 (latest)	06 May 2026	Murugappa	Yes — full
Q3 FY19 (sample)	13 Feb 2019	Avantha (K.N. Neelkant, MD & CEO)	Yes — for era contrast
7 older calls (Dec-2016 → Aug-2018)	various	Avantha	Same defunct era — not separately transcribed here

Honest limit: the useful "same-management" run read here is four consecutive FY26 quarters. That is enough to judge the *current* owners, but it is a short window — the older calls belong to a management team that no longer exists.

★ 2b. Latest concall highlights — Q4 FY26 (call held 06 May 2026)

- **Record year, strong finish.** Q4 consolidated sales ₹3,442 cr (up 25%) and profit ₹362 cr (up 32%). *Both revenue and profit grew about a quarter faster than a year ago — the best fiscal year in the company's recent history.*
- **Power Systems is the star.** This segment's full-year sales rose 46% to ₹5,138 cr with margins climbing to ~22%. *Transformers and switchgear are booming; profitability is rising, not just volumes.*
- **Order book exploded.** Backlog ₹17,107 cr, up 61%; Power Systems backlog alone up 91%. *Far more work is booked than ever before — clear visibility for FY27.*
- **Biggest-ever order won.** A ₹900 cr (~$99 mn) power-transformer export order for a US data centre (Jan-2026), plus a ₹641 cr PowerGrid 765kV order. *CG is now exporting large transformers to the US — a genuinely new, high-value market.*
- **Tone:** confident, almost bullish — management repeatedly said grid demand is "give us more, give us more" and called it "Amrit Kaal for the power sector." Interim dividend of ₹1.3/share declared.

2c. Business mix & capacity (quick facts)

Domestic vs exports: India-focused. Exports are only about **5-7%** of sales (8-9% if the European drives subsidiaries are included). *Roughly 9 out of every 10 rupees of sales are earned inside India — though management says exports "more than doubled" this year and is a key growth focus.*

Capacity & utilization: Transformer capacity has been multiplied — from ~17,000-18,000 MVA a year ago to ~65,000 MVA now (Gwalior + Bhopal = 75,000 MVA including latest lines), heading to **~1,10,000 MVA by end-2026** with a new greenfield plant, and a separate ₹748 cr switchgear greenfield expansion approved. *They are roughly quadrupling capacity because plants are effectively full and demand outstrips supply. A specific utilization % was not disclosed, but the scale of expansion implies plants are running near-flat-out.*

★ 3. Earning Trigger thesis

The main engine management points to is the **power-transmission super-cycle**: India is spending heavily on its electricity grid, and globally data centres need large transformers — a product in worldwide short supply. CG's Power Systems arm is riding this with a 91%-higher order book, expanding margins, and capacity being multiplied 4-6x. On top sits a longer-dated **semiconductor** bet (chip assembly/test plants at Sanand + a chip-design business) that could be a large future driver but is currently a small cost drag. Motors (where CG is market leader) are a steadier, supporting trigger.

Trigger	What management said	Evidence so far	Horizon	Strength
Power Systems / transformer cycle	Grid + data-centre demand is huge and "just started"; capacity being multiplied	Sales +46%, margins ~22%, backlog +91%; ₹641 cr PowerGrid + ₹900 cr US data-centre orders won	Now → several years (bullish to FY29)	**Strong — concrete orders, rising margins, real capacity going in**
Capacity expansion (transformers + switchgear)	To ~1,10,000 MVA transformers by end-CY26; ₹748 cr switchgear greenfield	Gwalior/Bhopal lines already commissioned; greenfield plant commissioning Jul-Aug 2026	1-2 years to full	**Strong — funded by ₹3,000 cr QIP, execution on schedule so far**
Semiconductors (CG Semi OSAT + Axiro/RF design)	G1 plant live (Aug-2025); G2 to ~14.5 mn chips/day by end-2026; govt support ₹3,501 cr + state ~₹1,400 cr	Axiro RF revenue ~₹500 cr; but a cost drag of ~₹111 cr (89 bps) on FY26 margins; chip revenue "two quarters away"	Long — 3-5 years+	**Unproven — big optionality, but currently loses money and is unproven at scale**
Motors turnaround (Industrial)	Market leader (~38-39% LT motors); passed ~17.5% price hikes without losing share; margins to recover	Motors back to double-digit growth in Q4; but segment margin fell to 9.9% on commodity costs + weak railway pricing	Ongoing	**Moderate — recovering, but margin still under pressure**

4. Management Consistency scorecard

The four FY26 calls tell one steady, delivered story. The older era tells the opposite — so the scorecard below separates the two.

Period	What was promised / signalled	What actually happened	Verdict
Q1 FY26 (Jul-25)	Record start, order momentum, margins to improve; ₹3,000 cr QIP; PowerGrid + Techno orders	QIP completed (3x oversubscribed); sales +25%, backlog +70%	Delivered
Q2 FY26 (Oct-25)	Power to stay strong; motors to recover; semiconductor a "long game"; railways deferment temporary	Power sales +48%, margin +310 bps; motors improving; G1 semi plant opened; railway slippage was just a quarter-shift	Delivered
Q3 FY26 (Jan-26)	Backlog to keep building; largest-ever US data-centre order flagged; no slowdown despite China-import worries	Backlog +66%; ₹900 cr US order booked; margins expanded 148 bps	Delivered
Q4 FY26 (May-26)			Delivered

	Record full year; capacity ramp on track; exports to grow; margins to hold	Record revenue/profit/order book; capacity ramp on schedule; margins held at ~13%	
Avantha era (2016-2019)	Growth via new products, royalty cuts, "group receivables" to be recovered	Related-party fund diversion / governance failure; ₹1,331 cr loss in FY20; near-insolvency until Murugappa rescue (Nov-2020)	Missed / broken (different, now-removed management)

Narrative drift

There are effectively **two different companies** in these transcripts. The old Avantha-controlled management (up to 2019) was consumed by promoter-group loans, royalty payments and receivables — the very issues that later blew up into a governance scandal and drove the company to the brink. The current Murugappa/Tube Investments management (FY26 calls) has been the opposite: no story drift, the same clear priorities every quarter (grow Power Systems, add capacity, fix motor margins, build semiconductors slowly), and it has hit its numbers each quarter. Tone has been steadily confident, and — importantly — they under-promise on the semiconductor bet rather than hype it. The debt was cleared and ROCE lifted from negative to ~27%.

5. Bottom line — two verdicts

Durable earning trigger? → YES

Power Systems is a clear, concrete, still-live driver and it is already showing up in the numbers: 46% segment growth, margins expanding to ~22%, an order book up 91%, and marquee real orders (PowerGrid ₹641 cr, US data-centre ₹900 cr). Capacity is being multiplied 4-6x with QIP money to meet demand management describes as insatiable. The semiconductor arm adds large but unproven upside. The core trigger is real and playing out now — this is a Yes.

Management consistent? → YES (for the current owners; see caveat)

Across all four FY26 calls the current management said what it would do and then did it — record results every quarter, an order book that kept building, capacity added on schedule, a clean debt-free balance sheet, and a refreshingly honest, non-hyped tone on the semiconductor bet. That is a genuine Yes for the Murugappa/Tube Investments team. The essential caveat: this same corporate name has a scarred past — the pre-2020 Avantha management presided over a governance fraud and near-collapse. That management is gone, and the record since has been steady and delivered, so the verdict is Yes — but a reader should know the turnaround is only about five years old.

Prepared from CG Power earnings-call transcripts sourced from Screener.in (Q1-Q4 FY26 read in full; Q3 FY19 read for era contrast) and the company's financial snapshot files. Every figure carries a plain-English read; nothing here is investment advice.